

A qualified and professional board member: a real vaccine for the company

Recruiting a qualified and professional board member early enough — and ideally a more independent one — can significantly reduce the risks of disruption for a company. Let us look at in which situations and why.

Very often, it takes a serious crisis — such as a critical lack of equity — for a company's corporate officers to start thinking about appointing a new board member. In fact, they are often forced to do so under pressure from third parties. At that point, the existing board members realize how useful a board member with the right profile could have been in dealing with — or better yet, preventing — the crisis. Of course, by then it is already too late. At best, the appointment will be made in a hurry, without the freedom of choice that would have been possible one or two years earlier.

However, simply looking at situations experienced by many companies makes it possible to identify the events that often lead to serious crises or major strategic shifts. In some cases, the date is known in advance — for example, when a company voluntarily enters a new market. In others, such as the death of the main shareholder in a family-owned business, the exact date is unknown, but the probability is known, especially depending on that person's state of health. Many situations can therefore be identified in advance.

For each type of event, a brief review can help the company assess the value of bringing in a new qualified board member in light of the potential crises linked to these events or changes, and determine the ideal profile for that new board member, whether male or female. The decision to recruit and the type of profile needed can then be based on objective grounds. In addition, the urgency becomes clear, and action is launched and followed through instead of, as often happens, being postponed.

The first time, such an assessment obviously requires more thought, because the company must use a checklist to identify the likely scenarios and determine the importance of each. After that, a simple update every year — for example before the Annual General Meeting — is enough.

Let us now look at a few typical cases to illustrate the value of bringing in a qualified professional board member as a preventive measure.

Need for funding through a capital increase, with or without a stock market listing

Among other things, the presence of a qualified professional board member — ideally a more independent one — shows that the current board is open-minded and can improve the company's image in the eyes of investors or potential shareholders.

International expansion

The board member may be chosen for their experience in the target regions.

Death or illness of the CEO

In such a case, the board member could, if available, devote time under a special assignment to support the company on an interim basis while a new executive is being sought and appointed.

Their in-depth knowledge of the company, gained beforehand through their role on the board, would allow them to become effective very quickly.

Sale of the company

The board member may:

- because of their neutrality, especially in financial matters, help establish a realistic valuation, avoiding false hopes and wasted time;
- through their professional network, help identify strong potential buyers.

If appropriate, the buyer may choose to keep this person on the new board after the sale, thereby ensuring a smoother transition.

In conclusion, the presence on the board of a new member appointed with the company's key risks and major possible strategic developments in mind can be a very suitable form of protection.

It should also be noted that if these events or changes do not occur, the appointed board member can still, through their regular work as a board member, help support the company's growth.

Appointing a qualified professional board member — ideally a more independent one — is therefore not only a vaccine, but also a strengthening measure. But for it to be effective, it must be "administered" at least one year before the illness.

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